

Q3 FY22 Result Update | BFSI

Light at the end of the tunnel

City Union Bank's Q3FY22 numbers were in line with our estimates on the profitability front mainly due to lower provisions (Credit Cost stood at 1.3% vs 1.6% QoQ) and stable margin (NIM 4% vs 4.03% QoQ), though the operating performance was below our estimates mainly due to lower treasury income (-65% YoY/-21% QoQ) and slower loan growth (5.2% YoY/1% QoQ). Besides, the bank's asset quality improved during the quarter, with GNPA's sequentially down by 37 bps at 5.21% and NNPA's down by 4 bps to 3.44%. These numbers are likely to improve further as management expects recoveries to be higher than slippages in upcoming quarters. Furthermore, SMA 2 number which used to be ~5-6% in pre-covid period, declined to 3.04% in Q1 and further declined to 1.99% in Q3FY22.

- NII came in at INR 4.90 Bn, 0.2% QoQ / 2.4% YoY.
- Other Income came in at INR 1.60 Bn, -21% QoQ / -30% YoY.
- PPOP came in at INR 3.70 Bn, -8.8% QoQ / -19.4% YoY.
- Provisions came in at INR 1.24 Bn, -16.6% QoQ / -43.5% YoY.
- PAT came in at INR 1.96 Bn, 7.7% QoQ / 15.4% YoY.
- EPS stood at INR 2.65 vs INR 2.46 / INR 2.30 in Q2FY22 / Q3FY21 respectively

Financial Highlights

- **Slower Loan Growth:** Bank's loan growth slows down to 5.2% YoY/ 1% QoQ at Rs 383.87 Bn, as management was cautious and focused only gold loan, ECLGS and other zero risk weighted assets. However, the recent management commentary indicates that the bank is slowly pushing the growth pedal and looking to close FY22 with high single digit growth. For FY23, the bank is looking to grow its loan book at lower double-digit.
- **NIMs remained steady:** Bank's NIM stood at 4% (vs 4.03% QoQ/4.16% YoY), with Yield on Advances stood at 9.29% (vs 9.49% QoQ/9.87% YoY) and cost of deposits stood at 4.58% (vs 4.82% QoQ/5.16% YoY). Yields compressed as large part of incremental loan growth came from the gold loan segment where the average yield is 8%-9%. The bank's NIM is expected to remain in the 3.8%-4.2% range for the foreseeable quarters, guided by the management.

Financial Summary

Y/E Mar (Rs Bn)	FY20	FY21E	FY22E	FY23E
NII	16.8	18.3	21.0	24.1
PAT	4.8	5.9	7.5	9.5
Net worth	53	58	65	74
EPS (Rs)	6	8	10	13
P/E (x)	22	18	14	11
P/Adj BV (x)	2.4	2.2	1.9	1.6
RoA (%)	1.0	1.2	1.3	1.5
RoE (%)	9.4	10.6	12.1	13.6

Source: Dalal & Broacha Research, Company

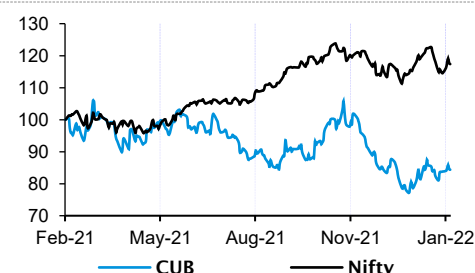
Rating	TP (Rs)	Up/Dn (%)
BUY	194	34

Market data

Current price	Rs	145
Market Cap (Rs.Bn)	(Rs Bn)	107
Market Cap (US\$ Mn)	(US\$ Mn)	1,430
Face Value	Rs	1
52 Weeks High/Low	Rs	189.7 / 128.7
Average Daily Volume	('000)	3,237
BSE Code		532210
Bloomberg		CUBK.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
FII	16.0	16.1
DII	43.9	42.1
Others	40.1	41.8
Total	100	100

Source: BSE

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- **Set for next phase of growth:** Bank is being ready for the next phase of growth and therefore focusing on three major areas including human resources management, digitization and customer management.
 - a. **Under human resources management,** the bank has entered into an agreement with its staff unions for migrating remuneration structure more towards cost to company kind of package starting from the year 2023 onwards. This new HR practice will align CUB with new generation banks. The annual increments will be based on the performance of the individual team member and not as per the time scale (current practice).
 - b. **On the digitization front,** the bank has implemented infrastructure for loan process automation and for offering application programming interface (API). The bank has digitized the risk management processes and implemented robotic process automation for more efficient internal processing. Bank saw improvement in digital transactions by 10%, which leads to manual transactions on branch level coming down to 50% of what it was during the beginning of the pandemic period.
 - c. Bank is channelizing its surplus capacity within the system for better purposes such as business development and better customer engagement (understand credit health and credit needs of customers). This will help the bank to improve the productivity and revenue per person.
- **Sticky Liability Franchise:** The bank is replacing its term deposits with low-cost CASA deposits and maintaining CD ratio at 81-82%, which helped NIMs to stay resilient. Bank's deposit grew by 7.9%YoY/0.9% QoQ led by CASA growth of 17% YoY/3.8% QoQ taking CASA ratio at 29.8% (Vs 27.5% YoY/29% QoQ).
- **Adequate capital buffer:** Bank's CAR stood at 19.4 % (vs 17.4% YoY/ 19.2% QoQ), of which Tier I capital was 18.3% (vs 16.3% YoY/ 18.2% QoQ). We believe the bank has an adequate capital base and will not be looking at raising capital in the next 12 months.
- **Portfolio quality likely to improve:** Annualized gross slippage ratio stood at 2.9% (Rs 2.75 Bn) vs 3.1% (Rs 2.97 Bn) QoQ, with recoveries and upgrades at Rs 1.86 Bn vs Rs 1.28 Bn QoQ. The new RBI guidelines of Nov 12, 2021 demand the categorisation of NPAs under the IRAC norms (change in upgrading policies), resulted additional slippages of Rs 0.50-0.60 Bn. Meanwhile, the bank's exposure to SpiceJet (sanctioned in FY15) is Rs 100 Cr, which has been provided (Rs 40 cr) during the quarter.
- **Restructured Book:** Bank's restructured book stood at Rs 22.02 Bn which is 5.74% of gross advances (compared to 5.9% QoQ). Out of which, the amount of Rs 6.61 Bn constitutes 30% of restructured book has started paying their regular dues and remaining will start paying their regular installments in upcoming months as per their schedule. Bank holds a standard account provision on restructured accounts to the tune of Rs.1.65 Bn and Rs.0.46 Bn towards erosion on fair value of accounts. SMA 2 category in the restructured book is Rs 1.87 Bn.

Bank is being ready for the next phase of growth and therefore focusing on three major areas including HR management, digitization & customer management.

The bank has entered into an agreement with its staff unions for migrating remuneration structure more towards cost to company kind of package starting from the year 2023 onwards.

Bank is channelizing its surplus capacity within the system for better purposes such as business development and better customer engagement (understand credit health and credit needs of customers).

Bank's deposit grew by 7.9%YoY/0.9% QoQ led by CASA growth of 17% YoY/3.8% QoQ taking CASA ratio at 29.8% (Vs 27.5% YoY/29% QoQ).

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Bank's restructured book stood at Rs 22.02 Bn which is 5.74% of gross advances (compared to 5.9% QoQ)

- **ECLGS loans:** The overall outstanding balance of borrowers who availed ECLGS loans stood at Rs 136.44 Bn. Out of which, SMA 1 & SMA 2 preposition stood at Rs 1.51 Bn & Rs 2.45 Bn respectively vs Rs 3.39 Bn & Rs 2.35 Bn respectively in Q2FY22. SMA 1 % SMA 2 as a percentage of ECLGS loans stood at 2.94% vs 4.76% QoQ
- **Operational efficiency stable:** Bank's cost to income ratio stood at 43.1% (+262 bps QoQ), impacted by net income (NII + other income) drop of 4.6% QoQ vs opex growth of 1.6% QoQ in Q3FY22. Bank expecting cost to income ratio to stay between 40-45% in in near to medium term. Operating profit was impacted by lower treasury profit, which stood at Rs 1.38 Cr in Q3FY22 (vs Rs 93 Cr in Q3FY21), adversely impacted by unfavourable yield movements.

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Valuation and outlook

We continue to like CUB in the small/mid-cap space, given conservative management, granular deposit franchise, unparalleled lending franchise, stable margins, and a well-capitalized balance sheet to support future growth. We expect the bank's RoA/RoE to be around 1.3%/12.1% in FY22 and recover back to 1.5%/13.6% in FY23. At the current price, the stock trades at 1.9 times its one-year forward book value, lower than its two-year historical average of 2.3 times and peak valuation of 3.8 times book value. **We assign a BUY rating with a Target Price of Rs 194/share, valuing the stock at a target multiple of 2.2x FY22E ABV.**

Financials

Financials (Rs Bn)	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22	YoY	QoQ
Interest Earned	10.48	9.76	9.97	10.22	10.35	-1%	1%
Interest Expended	5.59	5.48	5.50	5.44	5.45	-2%	0%
NII	4.89	4.29	4.48	4.78	4.90	0%	2%
Other Income	2.30	1.45	1.96	2.03	1.60	-30%	-21%
Net Income	7.19	5.74	6.43	6.81	6.50	-10%	-5%
Opex	2.60	2.89	2.60	2.76	2.80	8%	2%
PPOP	4.58	2.85	3.83	4.05	3.70	-19%	-9%
Provisions	2.19	2.39	1.70	1.48	1.24	-43%	-17%
PBT	2.40	0.46	2.13	2.57	2.46	3%	-4%
Tax	0.70	-0.65	0.40	0.75	0.50	-29%	-33%
PAT	1.70	1.11	1.73	1.82	1.96	15%	8%
Balance Sheet							
Deposits	4329	4454	4461	4632	4672	11.8%	3.8%
Advances	3650	3702	3640	3801	3839	7.3%	4.4%
Networth	5741	5842	5998	6169	6366	10.7%	2.9%
Ratios (%)							
GNPA	2.9	5.1	5.6	5.6	5.2	227 bps	-37 bps
NNPA	1.5	3.0	3.5	3.5	3.4	197 bps	-4 bps
PCR	50.8	43.2	39.0	38.9	35.2	-1565 bps	-378 bps
Tier 1	16.3	18.5	18.5	18.2	18.3	203 bps	16 bps
CAR	17.4	19.5	19.6	19.2	19.4	200 bps	15 bps
Cost/Income	36.2	50.4	40.5	40.5	43.1	691 bps	262 bps
CD Ratio	84.3	83.1	81.6	82.1	82.2	-217 bps	9 bps
Loan Book Sectoral Deployment (%)							
Agriculture	11.3	13.0	13.7	15.7	16.9	559 bps	113 bps
MSME	34.9	39.6	38.0	37.3	38.3	342 bps	99 bps
Large Industries	5.1	1.8	1.8	1.6	1.6	-349 bps	-1 bps
Retail Traders	1.5	1.6	2.1	2.7	2.9	132 bps	15 bps
Wholesale Traders	12.6	12.6	12.3	11.9	10.5	-207 bps	-138 bps
Commercial Real Estate	7.2	6.9	6.4	6.2	6.4	-82 bps	17 bps
JL NonAgriculture	8.2	9.3	9.9	8.8	8.0	-19 bps	-86 bps
Housing Loans	6.0	5.7	5.6	5.3	5.2	-77 bps	-13 bps
Other Personal Loans	2.4	2.2	2.6	2.4	2.2	-19 bps	-17 bps
Loans backed by Dep	1.3	1.4	1.4	1.5	1.6	22 bps	7 bps
Infrastructure	0.9	0.8	0.9	0.8	0.8	-11 bps	-4 bps
NBFC	0.8	0.7	0.7	0.9	0.9	11 bps	-2 bps
Other (EL, Staff Loan, etc)	7.8	4.4	4.7	4.7	4.8	-301 bps	10 bps

Source: Dalal & Broacha Research, Company

Financial

P&L (Rs Bn)	FY20	FY21	FY22	FY23
Interest income	41.7	41.3	45.1	51.6
Interest expense	24.9	23.1	24.1	27.5
NII	16.8	18.3	21.0	24.1
Non-interest income	6.8	7.0	8.0	9.1
Net revenues	23.6	25.3	29.0	33.2
Operating expenses	10.1	10.5	11.7	13.2
PPOP	13.4	14.8	17.4	20.0
Provisions	7.6	7.9	7.3	7.3
PBT	5.9	6.9	10.0	12.7
Tax	1.1	1.0	2.5	3.2
PAT	4.8	5.9	7.5	9.5
Balance sheet	FY20	FY21	FY22	FY23
Share capital	0.7	0.7	0.7	0.7
Reserves & surplus	52	58	65	73
Net worth	53	58	65	74
Deposits	408	445	485	558
Borrowings	20	13	12	12
Other liability	16	16	17	18
Total liabilities	497	533	579	662
Fixed assets	2	2	2	3
Investments	91	94	106	118
Loans	339	362	395	454
Cash	47	56	56	67
Other assets	17	19	19	21
Total assets	497	533	579	662

Ratios	FY20	FY21	FY22	FY23
Growth (%)				
NII	4.0	9.2	14.9	14.7
PPOP	8.2	10.6	17.0	15.4
PAT	-30.2	24.5	26.5	26.8
Advances	3.8	6.6	9.2	14.9
Deposits	6.2	9.1	8.9	15.1
Spread (%)				
Yield on Funds	9.2	8.4	8.4	8.6
Cost of Funds	6.1	5.2	5.0	5.2
Spread	3.1	3.2	3.4	3.5
NIM	3.7	3.7	3.9	4.0
Asset quality (%)				
Gross NPAs	4.1	5.1	4.2	3.4
Net NPAs	2.3	3.0	2.6	2.0
Provisions	45	43	40	42
Return ratios (%)				
RoE	9.4	10.6	12.1	13.6
RoA	1.0	1.2	1.3	1.5
Per share (Rs)				
EPS	6	8	10	13
BV	72	79	88	100
ABV	61	65	75	88
Valuation (x)				
P/E	22.4	18.1	14.3	11.3
P/BV	2.0	1.8	1.6	1.4
P/ABV	2.4	2.2	1.9	1.6

Source: Dalal & Broacha Research, Company

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